

Korea Shipbuilding

Investor Feedback Ahead of 2Q26 Earnings

Korea shipbuilding sentiment remains cautious following a sharp share price correction after the Canada submarine contract loss, leaving investors focused less on near-term upside and more on downside protection and “what can re-rate the group”. Into results, we expect the debate to center on (1) whether core commercial margins can hold up as input costs and wage negotiations evolve, (2) whether engine capacity/backlog constraints are easing (especially at HHI) and what that implies for delivery cadence and order timing, and (3) whether any “option values” (navy, AI data-center engine exposure, FDC) can become tangible enough to be reflected in valuation rather than remaining only as a narrative.

- **Share performance and net buying:** Over the past month, shares corrected heavily after the Canada submarine order loss (Hanwha Ocean -34%; HHI -31%; KSOE -15%, Samsung Heavy -21% vs. KOSPI -25%). Foreigners net bought HHI while net selling all other names, with a more constructive tone on potential AIDC engine value-unlocking. Retail investors net bought Hanwha Ocean and Samsung Heavy, while local institutions net bought KSOE.
- **Earnings estimate changes:** Hanwha Ocean witnessed the biggest estimate change for 2Q26 OP, up 9% vs. 1Q26 earnings release, HHI/KSOE 2Q OP estimates were mildly lifted by 2%/1%, while Samsung Heavy saw 2Q earnings being cut by 8%, largely in-line with our view for the quarter. Negotiations with labor unions and sub-contractors are under way and should be crucial for 2027E/2028E earnings outlook. Another key watch will be Hanwha Ocean/HHI’s commercial segment OPM level in 2Q, and guidance on room for further expansion.
- **Investor feedback:** Investor sentiment remains negative with a limited near-term catalyst path. More questions are being directed toward identifying the “best short” rather than a high-conviction long. Current valuation (order book at 0.5–0.6x vs. peak ~1.0x) implies mid-cycle expectations and little-to-no premium for option values (navy, AIDC engine, FDC). Investors are watching for an HHI engine capacity addition announcement as the nearest potential sector catalyst. On navy, investors remain reluctant to ascribe value without clearer order visibility and/or tangible legislative changes enabling U.S. battleships to be built in Korea.
- **Key things to watch during 2Q26 earnings:** 2Q earnings should again be framed by the core equation of mix/pricing vs. input costs vs. FX, but with greater attention on negatives - labor negotiations and cost inflation management while protecting margin guidance into 2H. More important catalysts will be for HHI on whether engine capacity/backlog constraints are easing and what that implies for delivery schedules and order win timeline and for Samsung Heavy on FDC updates and details, while listening for a clean read-through on LNG/LNGC demand and pricing that can improve visibility beyond the near-term margin print.

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Table 1: Hanwha Ocean: 2Q26 Earnings Season Checklist

Topic / question	Why it matters / what it resolves	What answer changes	What would be a “good” answer
2Q sales/OPM – drivers (mix vs cost vs FX)	Earnings quality	2H margin band	Clean drivers; limited one-offs
LNGC order update (incl. US LNG)	Order visibility	Order intake assumptions	Indication on rising prices and cadence
Offshore order update	Profit pool diversification	Outer-year earnings	Clear pipeline + timing
MASGA / US Navy strategy update	Navy re-rating angle	Probability/timing	Concrete steps + constraints
Canada CPSP: mgmt view either way	Post-event sentiment	Re-rating path	If loss: “what’s next catalyst” clarity; if win: execution cadence
Other navy opportunities + priorities	Keeps focus	Pipeline framing	Details on timeline
Labor negotiations / strike risk	Disruption risk	Cost/schedule	Quantified impact / mitigation
Raw materials (steel) update	Margin risk	Cost assumptions	Stable

Source: J.P. Morgan.

Table 2: HHI: 2Q26 Earnings Season Checklist

Topic / question	Why it matters / what it resolves	What answer changes	What would be a “good” answer
2Q sales/OPM – drivers (mix vs cost vs FX)	Core earnings print	2H margin band	Mix/FX offset costs; clean quarter
Engine capacity addition plan / backlog	Bottleneck risk	Delivery schedule + margin	Specific capacity adds + timing
AI DC engine pipeline	New profit pool	Optionality	Concrete customers / timing
LNGC order update (incl. U.S. LNG) + pricing	Demand + pricing	Order intake assumptions	Rising prices and color on inquiry magnitude
MASGA / US Navy strategy update	Navy optionality	Pipeline probability	Clear pathway and investment plan update
Labor negotiations / strike risk	Near-term disruption	Cost & schedule risk	Contained or clear mitigation
Raw materials (steel) update	Margin risk	Cost assumptions	Stable

Source: J.P. Morgan.

Table 3: KSOE: 2Q26 Earnings Season Checklist

Topic / question	Why it matters / what it resolves	What answer changes	What would be a “good” answer
Samho 2Q sales/OPM – drivers (mix vs cost vs FX)	Core earnings print	2H margin band	Mix/FX offset costs; clean quarter
MASGA / US Navy strategy update	Navy optionality	Pipeline probability	Clear pathway and investment plan update
ASEAN investment update	Mid-term commercial shipbuilding sales/margin	Long-term sales/margin outlook	Investment execution plan
Labor negotiations / strike risk	Near-term disruption	Cost & schedule risk	Contained or clear mitigation
Samho Heavy halt impact (if referenced)	One-off risk	2Q/3Q margins	Quantified impact
Raw materials (steel) update	Margin risk	Cost assumptions	Stable

Source: J.P. Morgan.

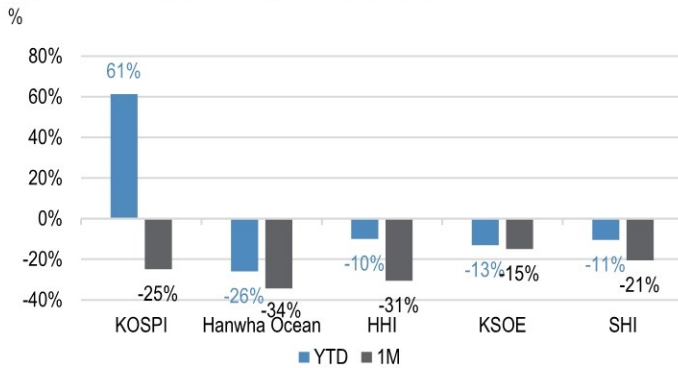
Table 4: SHI: 2Q26 Earnings Season Checklist

Topic / question	Why it matters / what it resolves	What answer changes	What would be a “good” answer
2Q sales/OPM – drivers (mix vs cost vs FX)	Earnings quality	2H margin	Clean quarter; limited one-offs
LNGC order update (incl. US LNG)	Demand + pricing	Order intake	Stable pricing, order discussion progress on US LNGC orders
Delphin FLNG: sales recognition trajectory + OPM guidance	Key earnings driver	Revenue timing + margin	Clear milestones and recognition rules
Offshore order pipeline	Visibility	Outer-year earnings	Concrete decision points
Floating AI DC business update	New optionality	Narrative vs reality check	Named customers / timeline
Labor negotiations / strike risk	Disruption risk	Cost/schedule	Mitigation + quantified impact
Raw materials (steel) update	Margin risk	Cost assumptions	Stable

Source: J.P. Morgan.

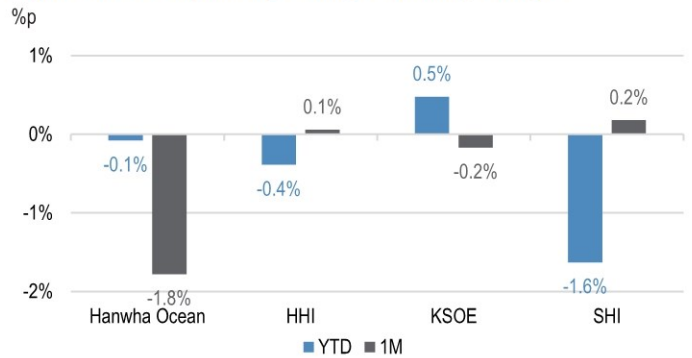
Key Charts

Figure 1: Korea Shipbuilding: Share price performance



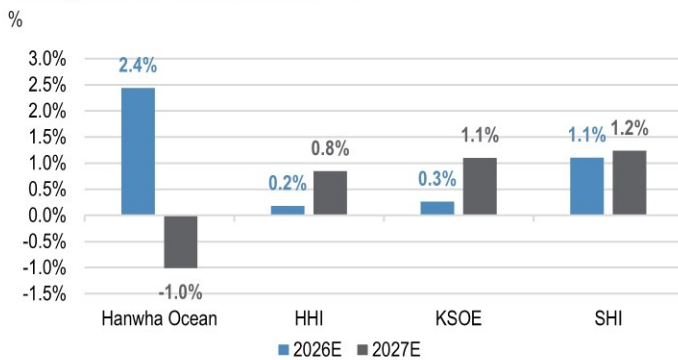
Source: Bloomberg Finance L.P. Note: As of July 22nd, 2026.

Figure 2: Korea Shipbuilding: Foreign Ownership Changes



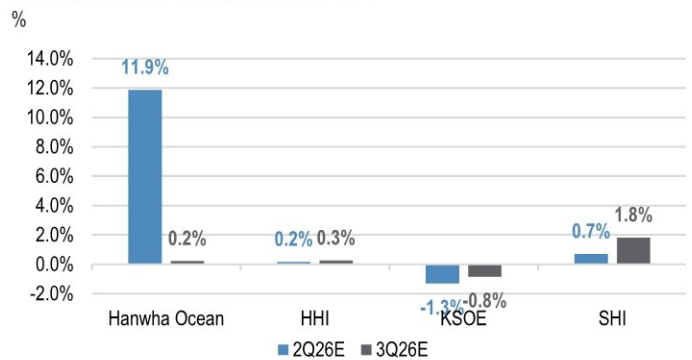
Source: Bloomberg Finance L.P. Note: As of July 22nd, 2026.

Figure 3: Korea Shipbuilding: Consensus Revisions since 1Q26 earnings season - 2026E/2027E Sales



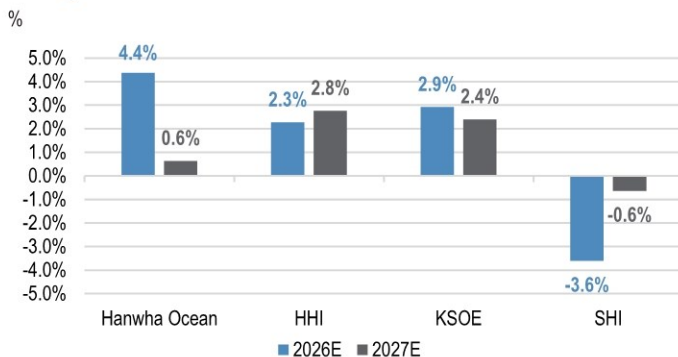
Source: Bloomberg Finance L.P. Note: As of July 22nd, 2026.

Figure 4: Korea Shipbuilding: Consensus Revisions since 1Q26 earnings season - 2Q26E/3Q26E Sales



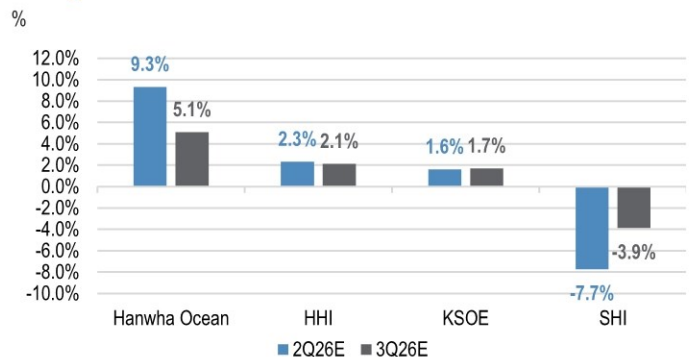
Source: Bloomberg Finance L.P. Note: As of July 22nd, 2026.

Figure 5: Korea Shipbuilding: Consensus Revisions since 1Q26 earnings season - 2026E/2027E OP



Source: Bloomberg Finance L.P. Note: As of July 22nd, 2026.

Figure 6: Korea Shipbuilding: Consensus Revisions since 1Q26 earnings season - 2Q26E/3Q26E OP



Source: Bloomberg Finance L.P. Note: As of July 22nd, 2026.

Companies Discussed in This Report (all prices in this report as of market close on 22 July 2026, unless otherwise indicated)
HD Hyundai Heavy Industries(329180.KS/W466,000/OW), HD Korea Shipbuilding & Offshore Engineering(009540.KS/W357,500/OW), Hanwha Ocean(042660.KS/W84,200/OW), Samsung Heavy Industries(010140.KS/W21,750/N)

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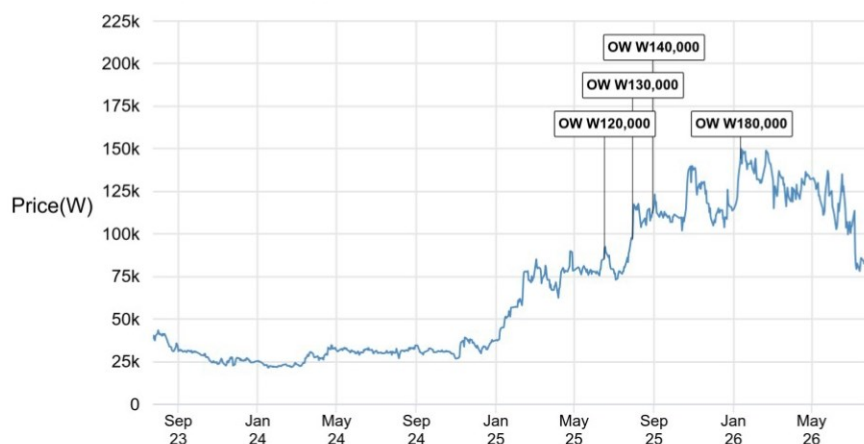
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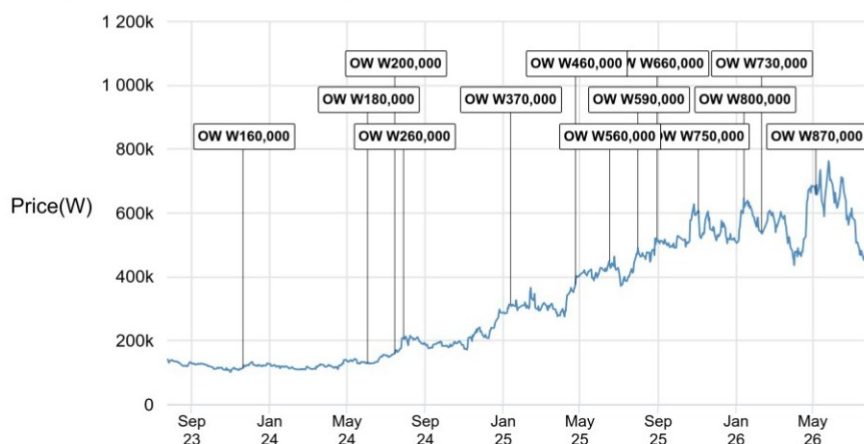
Hanwha Ocean (042660.KS, 042660 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
17-Jun-25	OW	85300	120,000
30-Jul-25	OW	96800	130,000
31-Aug-25	OW	112000	140,000
13-Jan-26	OW	143900	180,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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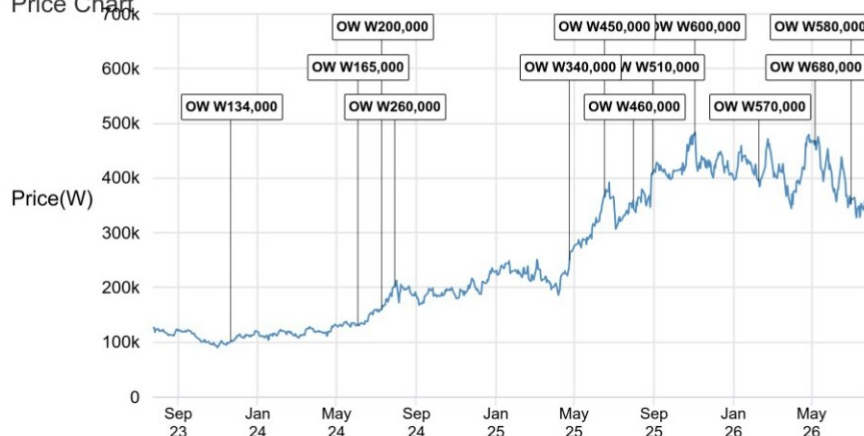
HD Hyundai Heavy Industries (329180.KS, 329180 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
21-Nov-23	OW	114700	160,000
03-Jun-24	OW	128700	180,000
16-Jul-24	OW	160000	200,000
30-Jul-24	OW	208000	260,000
13-Jan-25	OW	314000	370,000
25-Apr-25	OW	376000	460,000
17-Jun-25	OW	449000	560,000
01-Aug-25	OW	490500	590,000
31-Aug-25	OW	520000	660,000
03-Nov-25	OW	600000	750,000
14-Jan-26	OW	645000	800,000
10-Feb-26	OW	541000	730,000
07-May-26	OW	658000	870,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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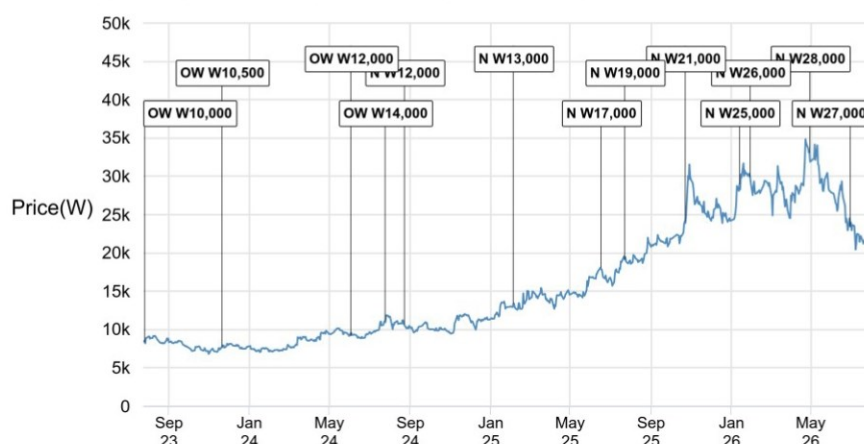
HD Korea Shipbuilding & Offshore Engineering (009540.KS, 009540 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
21-Nov-23	OW	100900	134,000
03-Jun-24	OW	130400	165,000
10-Jul-24	OW	159700	200,000
30-Jul-24	OW	203000	260,000
25-Apr-25	OW	249500	340,000
17-Jun-25	OW	367500	450,000
01-Aug-25	OW	359000	460,000
31-Aug-25	OW	406500	510,000
03-Nov-25	OW	477000	600,000
10-Feb-26	OW	394000	570,000
07-May-26	OW	460500	680,000
01-Jul-26	OW	352500	580,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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Samsung Heavy Industries (010140.KS, 010140 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
27-Jul-23	OW	8370	10,000
21-Nov-23	OW	7720	10,500
03-Jun-24	OW	9160	12,000
25-Jul-24	OW	11090	14,000
23-Aug-24	N	10680	12,000
05-Feb-25	N	13350	13,000
17-Jun-25	N	18070	17,000
24-Jul-25	N	19140	19,000
23-Oct-25	N	24100	21,000
14-Jan-26	N	29000	25,000
30-Jan-26	N	29900	26,000
30-Apr-26	N	33100	28,000
01-Jul-26	N	23450	27,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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